

Audits of Less Complex Entities – Explanation of Significant Changes to Authority

This paper explains the significant changes and the rationale for the changes that have been made to Part A, *Authority of the ISA for Audits of Financial Statements of Less Complex Entities* of the proposed International Standard on Auditing for Audits of Financial Statements of Less Complex Entities (ISA for LCE) since the June 2022 meeting, as reflected in the marked draft in **Agenda Item 5-A**. Minor editorial changes are not addressed in this paper.

Paragraph	Significant Changes and the Rationale for Those Changes
Introductory Box	
Content of this Part	- Clarified what the purpose of Part A is and that there are limitations to using the ISA for LCE. - Clarified upfront that this Part sets out "Responsibilities of Legislative or Regulatory Authorities or Relevant Local Bodies" in addition to limitations to using the ISA for LCE. - Clarified that, for the purposes of Part A, the use of "Less Complex Entities (LCE)" or "entity" also refers to a group (i.e., where the audit is an audit of group financial statements). - Removed unnecessary or inappropriate wording regarding when the standard may be used (Part A does not include requirements and duplicative to the following sentence). - Added reference to the supplemental guidance for the authority of the proposed ISA for LCE (the Authority Supplemental Guide) providing guidance to legislative or regulatory authorities or relevant local bodies with standard-setting authority as the introductory box only mentioned firms and auditors (is also referred to later in Part).
Limitations for Using the ISA for LCE (Paragraphs A.1. – A.2.)	
A.1.(a)	Merged paragraphs A.1.(a)(i) and (ii) to simplify the description based on feedback from respondents to the Exposure Draft of the Proposed International Standard on Auditing for Financial Statements of Less Complex Entities (ED-ISA for LCE).
A.1.(c)	As described in paragraph 11 of Agenda Item 5, for the purposes of initial revisions, brackets have been added around the two classes that would need to be removed in order to align paragraph A.1.(c) with the International Ethics Standard Board

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	for Accountants International Code of Ethics for Professional Accountants (including International Independence Standards) (IESBA Code) definition of a Public Interest Entity.
A.1.(d)	- Replaced with prohibition of an audit of group financial statement that include an entity or business unit that is listed (paragraph A.1.(b)) or falls into one of the classes described in paragraph A.1.(c). The LCE Task Force (the Task Force) considered if a distinction should be made based on the percentage of ownership or control, or method of consolidation (e.g., if equity-accounted investments should be considered differently from consolidated entities) but had the view that this would be unnecessarily complicated to apply on a global basis. - The involvement of component auditors has been added with brackets for discussion. See paragraphs 58– 64 of Agenda Item 5 for the Task Force views on the potential inclusion of a limitation in relation to the involvement of component auditors.
EEM under A.2.	Added explanatory sentence to better link EEM to paragraph above.
Qualitative Characteristics (Paragraph A.3.)	
EEM above A.3.	- Based on feedback from Board Members during June 2022 meeting, selected wording from paragraph A.8. of the Authority included in ED-ISA for LCE has been incorporated into the guidance in order to provide background as to how the qualitative characteristics affect the design (i.e., nature of procedures included in) of the standard. - Moved guidance to paragraph A.3. (see below). - Based on comments from respondents to the ED-ISA for LCE, clarified upfront that certain significant, discrete topics are not included in the requirements of the ISA for LCE. It was noted that some topics were excluded from the proposed standard (e.g., requirements for the use of internal auditors) but that these topics were not explicitly prohibited through the Authority. These topics were described in the Authority Supplemental Guide. The Task Force will consider if there are other matters to be included in this list when drafting further revisions to the proposed standard.

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A.3.	- Wording that was presented as Essential Explanatory Material (EEM) above paragraph A.3. in the June Issues Paper has been incorporated into the lead in to paragraph A.3 (to better describe the qualitative characteristics) and after the table (to be consistent with where the consideration would be made). Also added clarifying guidance for group audits. - Incorporated use of a table format due to positive feedback from the ED-ISA for LCE regarding the use of tables for more clearly displaying information (creation of table does not show in track changes however subsequent edits to wording do). - Structure of table follows the format of the table included in paragraph 63 of the June Issues Paper except: - Does not include a characteristic describing employee numbers based on feedback from June 2022 Board Session (had not previously been included in Appendix 4 of the June Issues Paper therefore does not show in tracked changes in Agenda Item 5-A) - Categorizes the two characteristics previously included in ‘<i>Other Factors</i>’ into ‘<i>Business Activities, Business Model & Industry</i>’ and a new category ‘<i>Ownership Structure</i>’. - Various changes to the wording of individual characteristics were made as described in the table below paragraphs 9 and 13 of Agenda Item 5. - Added guidance to explain the additional “group-specific” qualitative characteristics should be considered in addition to the others in the table. - Incorporated additional group characteristics (distinguished through orange shading) as described in paragraph 56 of Agenda Item 5.
Quantitative Thresholds (Paragraph A.4.)	
A.4.	- Removed specific illustrative indicators from the Authority as the nature of possible indicators will be discussed in the Authority Supplemental Guide. - Updated paragraph to explain that the Part provides for quantitative thresholds to be determined by legislative or regulatory authorities or relevant local bodies with standard-setting authority.

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EEM below A.4.	- Added EEM to describe the benefit of setting quantitative thresholds by legislative or regulatory authorities or relevant local bodies with standard-setting authority. Clarified that the quantitative thresholds may be set for all entities within the jurisdiction in general, or for entities within a specific or certain industry(ies) or for certain classes of entities. - Added a reference to the Authority Supplemental Guide below the specific requirement (additional guidance under “Responsibilities of Legislative or Regulatory Authorities or Relevant Local Bodies”). - Added that the quantitative thresholds are to be considered in addition to the specific prohibitions in paragraph A.1. and the qualitative characteristics in paragraph A.3. when determining whether it is appropriate to use the ISA for LCE (aimed at auditors implementing thresholds as determined by their jurisdiction).
Responsibilities of Legislative or Regulatory Authorities or Relevant Local Bodies (Under paragraph A.5.)	
EEM under A.5	Updated ‘required to’ to ‘anticipated to’ based on Board Member input that it is not appropriate for the Authority to contain ‘requirements.’